

We think Microsoft must market its mobile business more aggressively and make it more exciting. Microsoft has more opportunities, so it can't be underestimated. It can even knock out BlackBerry and push harder to lead the business sector where it always does well, if it offered Office bundled in tabs. Microsoft hasn't really been good in the consumer market, Apple rules there. But with Skype and good marketing, that can change. One can't really count Microsoft out of the race. Not yet. As tablets and smartphones eat into the PC market share, Microsoft's revenues will slide southward. To imagine Microsoft whimpering out without giving Google and Apple a ferocious fight would be to misunderstand the company itself.

Microsoft has been more than willing in the past to throw ridiculous money at a project just to keep the competitors on their toes. It has spent billions of dollars on search (without much success), if only to give Larry Page and Sergey Brin something to think about in the wee hours of the night. It threw a massive amount of cash to unsettle Sony's PS2 Armada without flinching. Whatever criticisms one might level at Microsoft, one can't accuse it of not having an appetite for a fight.

The fact remains that the Windows and Office divisions will continue to generate billions of dollars in cash for the next several years, cash that can and will be used to fuel innovation in mobile computing. By all critical standards, Windows Mobile is good; it only needs a great phone and a large app library to fly off the success runway. Knowing Microsoft, you can never bet against the company attracting a massive developer base.

Then there's Windows 8. All previews indicate that this might be the actual challenger to the iPad, and not the PlayBook or the Kindle Fire or whatever Android monstrosity is being conjured up in Google's labs. Microsoft has entered the fight late, but not too late. The mobile computing market is still in its nascent stages and it'll take at least a couple of years for it to reach maturity. That is plenty of time for Microsoft to polish off Windows Mobile and Windows 8.

Make no mistake: Microsoft hasn't lost this fight. It is still a competitor and it will come down hard when it steps into the ring. Apple will survive the assault, but perhaps not Android.

Microsoft

Things to do to avoid being relegated from the market

- **Build it:** First and foremost, Microsoft cannot let Apple have one more holiday season without a Windows tablet on the market. It needs to